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Postal Manual Volume II

Chapter VI (Stock), VIII (Printing), IX(Contracts), XII (Budget Estimates and control)

DISCLAIMER: *This booklet has been prepared strictly from an examination point of view. While every effort has been made to ensure accuracy and the inclusion of recent changes, amendments, and updates to the relevant Acts, Rules, and Regulations, this document is intended as a study aid only. Readers and students are strongly recommended to refer to official government sources or gazettes for the most reliable and authoritative information.*

Postal Manual Volume II

CHAPTER VI: STOCK

Note 1. The rules in Part I apply to Post and RMS offices. **Note 2.** "Depot" denotes the Stock Depot (Post Offices / RMS) or the Store Depot. **Note 3.** These rules do not apply to engineering equipment or electric lights, fans and fittings.

PART I – GENERAL RULES

Rule 269. Responsibility for Stock

The officer in charge of an office is **personally responsible** for all articles of stock and departmental forms supplied to his office. He must ensure that:

- **Stock books** are correctly prepared
- All articles received are duly entered
- Disposal of articles returned to the Depot, transferred, or sold is duly recorded
- Indents/requisitions are submitted to the proper authority for articles required

Rule 269-A. Typewriters, Copying and Other Machines

(c) The officer in charge shall inspect all machines **monthly** and note the fact of inspection on the machine card.

(d) Each stenographer/typist shall clean the machine **daily**, lock the cover **every day** before leaving office, and shall be held **personally responsible** for any damage caused by carelessness or neglect.

(e) Where the Government of India has entered into maintenance contracts with manufacturers, overhauling or repair by any other firm or mechanic is **prohibited**.

(f) No machine can be rejected as worn out until condemned by a **Condemnation Committee**. No machine shall be sent to the Committee until examined and recommended for condemnation by the local representative of the manufacturer.

Rule 269-B. Classification and Inventory of Stock

- **Dead Stock** — Plant and machinery, furniture and fixtures.
- **Stores** — Consumable and perishable articles.

An inventory of dead stock should be maintained in all offices and checked **once a year** by the head of office or an officer selected by the Head of Circle. The form of stock book (S.K.-1) shall be used for maintaining inventories of both dead stock and stores.

Rule 269-C. Record of Losses

A detailed record of all losses of stock and stores shall be maintained and an **annual statement** submitted to the Audit Office showing all deduction entries (other than issues) made in the inventory, with full particulars and reasons for removal from stock.

Rule 270. Examination of Locks

The officer in charge must:

- **Daily** — examine the condition of locks of the main doors
- **At least once a month** — examine locks of boxes, almirahs etc., and note the result in the order book or error book

Each safe where joint custody applies must be provided with **two locks of different patterns**.

Rule 271. Locks — Repair and Lost Keys

- Damaged/unserviceable locks shall **not be repaired locally** — they must be returned to the Depot.
- Only **one key** is supplied with each lock.
- If a key is lost, the lock shall be broken open, returned to the Depot, and a new one supplied — **cost recovered from the official at fault**.
- A **duplicate key shall never be made or procured locally**.

Note (Amended). Loss of key of a safe should be reported immediately by **email or official communication** to the Head of Circle. (Note: The earlier reference to "telegram/fax" stands amended — the Telegram service was closed by DoT w.e.f. 15th July 2013. Email/official communication is the current mode.) Loss of key of steel almirahs/cabinets should be reported to the **Divisional Superintendent**.

Rule 271/1. Recovery of Cost of Lost/Broken Articles

When cost of lost/broken stock is recovered, it shall be **realised in cash** and credited under "**Unclassified receipts**". A certificate of credit shall be forwarded to the Superintendent.

Rule 271/2. Duplicate Keys of Steel Almirahs and Safes

- Duplicate keys of steel almirahs/lockers with body locks shall be kept in the **Divisional Office** in joint custody of **ASPOs (HQ) and Stock Asstt.**
- Keys of Heads of Offices shall be sealed in an envelope and sent to **Circle Office** for safe custody.
- When the original key is lost, issue of duplicate key shall be authorised by the **Divisional Officer**. The duplicate key shall be sent by **registered parcel post** (insured for the appropriate value as per current Circle instructions).
- Duplicate keys of all safes in the Stores Depot shall be kept in the joint custody of the **Manager and the Superintendent/Head Assistant** of the Circle Office.

Rule 272. General Stock Book

A **general stock book (Form S.K.-1)** must be kept in every office containing entries of all articles of stock — whether supplied by the Depot, obtained by local purchase, or transferred from other offices.

- In a record office, the stock book covers articles of the office itself and all attached sections.
- Key numbers of steel almirahs with body locks shall be entered in the remarks column of the stock book.
- **Bags** shall not be entered in the general stock book in offices authorised by the Head of Circle to maintain **Form S.K.-1(a)** (special stock register for bags).

Rule 273. Writing Off Articles

Articles given out to replace damaged/unserviceable articles in portfolios or issued to sorters should be **written off** from the stock book, quoting the order authorising the renewal.

Explanation. Articles that remain in the record office (e.g., name-stamps, type boxes) and can be inspected at any time should be **borne on the stock book** — only articles that sets take away on trips should be written off.

Rule 274. Stock Register of Bags

In authorised offices, bags shall be entered in **Form S.K.-1(a)**. In all other offices, the general stock book (Form S.K.-1) shall be used. The register shall show bags received, returned to Depot/transferred, and the **balance in hand after each receipt or issue**.

Rule 275. Stock Register of Forms, Books and Petty Articles

A stock register for all forms shall be maintained by all Post Offices in **Form S.K.-1(b)**. The following are among the items requiring special custody and must be entered in a **separate register** (also Form S.K.-1(b)):

Books of M.O. receipts; Registered Journals; Registered V.P. Journals; T.M.O. advice books; Treasury passbooks; Books of vouchers for money drawn from the treasury; Identification cards (M.S.-3); Parcel/V.P. No. slips; Treasury Vouchers; Order books; Receipt books for the public; Specimen Postal Certificates; Stamping ink, carbonic paper, indelible pencils; and any other articles ordered by the Head of Circle to be treated as articles of stock.

Rule 276. Check of Stock Books on Transfer of Charge

The relieving officer shall check all articles of stock against the general stock book and registers. If any article is missing or damaged, a **note shall be written in the remarks column**, initialled by both officers, and a **report made to the next higher authority**.

Rule 277. Emergent Indents

Officers shall prepare indents on the Depot in **Form SK.-2 or Genl.-18** as articles are required. Indents for stock are **emergent indents** — there are no fixed dates. Ordinarily, **not more than one indent per office per month** shall be submitted.

Rule 278. Preparation of Emergent Indents

Emergent indents shall be prepared in **triplicate**:

- One copy forwarded to the Depot
- One returned to the indenting office for record
- One retained by the countersigning officer

Rule 279. Countersignature of Emergent Indents

- **First class postmasters** — indents require **no countersignature**; forwarded direct to Depot.
- **Other officers** — forwarded to the next higher authority for countersignature.

Rule 281. Local Purchase of Articles

Every article of stock must ordinarily be obtained from or through the Depot. Local purchase may be made only with the sanction of the next higher authority (if beyond powers of sanction), and only if local rates do not exceed the Postal Workshop rates plus cost of transit.

Note (GFR 2017). All local purchases must also comply with **Rule 149 of the General Financial Rules, 2017** — procurement of common use goods and services available on the Government e-Marketplace (GeM) is **mandatory through GeM**. For purchases outside GeM, a GeM Availability Report (GeM AR) must be generated as per OM No. F.6/18/2019-PPD dated 23.01.2020.

Rule 282. Supply Against Indents

Articles supplied by the Depot shall be accompanied by an invoice (**Form S.K.-3**) prepared in **triplicate** — two copies sent to the indenting office. The indenting officer shall check the invoice with the articles, sign both copies, and make entries in the stock book.

Rule 284. Discrepancies in Invoices

If there is any discrepancy between the invoice and the articles actually received, the indenting officer shall note it on the invoice and report to the despatching officer. If not resolved, a report shall be made to the supervising officer.

Rule 285. Numbering of Invoices

Invoices shall be consecutively numbered in an **annual series commencing from 1st April**. A service postcard bearing the closing number of the series shall be sent to each office by the Depot on **31st March** of each year.

Rule 286. Schedule of Forms

The Head of Circle shall prescribe **two six-monthly periods** for supply of forms to each office. Periods shall be so fixed that Stock Depots are not required to supply forms during the month of their own stock count.

Rule 287. Master Schedule of Forms

A Master Schedule shall be supplied to each office showing the description, average rate of consumption, and total quantity of forms required for **six months**.

- Margin for wastage: **2%** for departmental-use forms; **10%** for forms used by the public; up to **15%** (at Head of Circle's discretion) for certain public-use forms (e.g., Inland/Foreign Message Forms).
- The Master Schedule shall be **thoroughly reviewed every 5 years**.

Rule 288. Authority of Master Schedule

The Master Schedule is an authorisation for offices to draw supplies from Postal Stores/Stock Depots. **No alteration** shall be made without the previous sanction of the issuing officer.

Rule 289. Submission of Indent for Forms

An indent in **Form SK-85** shall be placed directly on the supplying agency when:

- There is no variation in demand from the authorised supply, **or**
- The variation is **within 10%** of the prescribed limit.

For additional requirements, a **Supplementary Indent** with justification shall be submitted to the Controlling Officer for countersignature.

Rule 291. Pre-Indent Examination of Stock

Six weeks before the date fixed for the six-monthly supply, the officer in-charge shall personally examine the stock of forms.

During the **last week of March** every year, the Supdt. of Postal Stores Depots shall carry out detailed physical verification. The verified balances shall be brought forward in new registers on **1st April**. Supplies remain suspended during this period.

Rule 292. Distribution of Forms

Forms are supplied in bulk by the following five Regional Forms Depots to other Postal Stores/Stock Depots:

Regional Forms Depot	Supplies to (Circles)
PSF&S, Aligarh	North, Central and Western zones (UP, MP, Rajasthan, Punjab, Delhi, etc.)
RFD, Nashik	Maharashtra, Karnataka, Gujarat
RFD, Bhubaneswar	Andhra Pradesh, Bihar, Odisha, Jharkhand
RFD, Thrissur	Kerala, Tamil Nadu
RFD, Kolkata	West Bengal, Assam, North East

These five depots also supply forms in **retail** to post offices in their respective Circles.

Rule 295. Annual Forecast of Requirements

Every Postal Stores/Stock Depot shall furnish its annual forecast of form requirements to the respective Regional Forms Depot by **end of December** every year. The Regional Forms Depots shall consolidate and furnish printing requirements — maintaining a **buffer stock of 25%** — to the presses **in January** each year. This is followed by two half-yearly indents — one **in March** and one **in September**.

Rule 297. Mode of Despatch of Forms

Forms are normally sent in bags or packets. Each consignment shall bear a **serially numbered slip** stating "Further supply will follow" (all parcels except the last) or "This completes the supply" (last parcel). If the serial number sequence is broken, a report shall be made to the Stores Depot.

Rule 300. Custody and Storage of Forms

- Larger offices — forms to be kept in a **separate locked room or godown** on racks.
- Smaller offices — on racks or in almirahs.
- Forms **shall not** be kept in bags, left on the floor, or stored where white ants or vermin can destroy them.

Rule 306. Transfer of Surplus Articles or Forms

Surplus articles of stock, books, or forms may be transferred to other offices under orders of the competent authority. **Stamps or seals engraved with the name of an office must be returned to the Depot** — they cannot be transferred.

Rule 307. Disposal of Obsolete Forms

- Ordinary forms — torn up and sold as **wastepaper**, or used for envelopes.
- The following forms, when obsolete, must be **destroyed by fire** in the presence of the officer in-charge: Registered Journals, Parcel Journals, V.P. Journals, Books of M.O. Receipts, T.M.O. Advice Books, Receipt Books, and other receipt books issued to the public.

Rule 308. Destruction of Savings Bank Pass Books

In Head Offices, spoilt and obsolete Pass Books shall be destroyed in the presence of the **Sr. Supdt./Supdt. of Post Offices** at the time of verification of accounts. The number destroyed shall be entered in the Stock Register of Pass Books under the Supdt.'s initials.

PART II – SPECIAL RULES FOR POST OFFICES AND RMS**Rule 309. List of Articles of Stock**

In Post Offices — Furniture, maps, stamps, seals, scales, letter-boxes, bags and every other article used in a Post Office except books and forms.

Note. The office order book and all books of reference shall be treated as articles of stock.

In RMS — Includes acme boards, bags, belts, clocks, furniture, hand-carts, lamps, locks and keys, maps, metal tokens, notice/sign-boards, portfolios, safes, scales and weights, seals, stamps, tarpaulins, time-pieces, type-boxes etc.

Rule 310. Standard Sizes of Bags

Type	Description	Size
C-I	Jute Unproofed Canvas	122 x 43 x 43 cms.
C-III	Jute Unproofed Canvas	81 x 35.50 x 35.50 cms.
C-V	Jute Unproofed Canvas	60 x 35.50 cms.
AM-I	Blue Air Mail (Dosuti)	105 x 35 x 35 cms.
AM-II	Blue Air Mail (Dosuti)	75 x 35 x 35 cms.
N-I	Nylon Air Mail (Oxford Blue)	120 x 75 cms.
Red Account Bags	Dosuti — Size I / Size II	75 x 35 cms. / 45 x 35 cms.
Green Cash Bags	Dosuti — Size I / Size II	45 x 35 cms. / 25 x 15 cms.

Rule 311. Use of Bags for Closing Registered Bags

- **C-III and AM-III bags** shall be used for closing registered bags and small 'L' bags.
- **Jute Unproofed Canvas bags** shall **not** be used for air transmission.
- **Blue Air Mail bags** shall **not** be used for surface transmission.

Rule 312. Distinctive Marks on Bags

- All bags (except Dosuti smallest size) are stamped "**India Post**" — two inside and two outside on each face. Smallest Dosuti bags are marked "**I.P.O.**"
- Jute canvas bags — two **one-inch blue stripes** interwoven down the length.
- Dosuti bags — sets of **four thin black lines** woven in the material.

Rule 313. Wilful Obliteration of Marks

The wilful obliteration or mutilation of any of these marks will be **severely punished**.

Rule 314. Examination of Bags

Every postmaster or record clerk shall at least **once in every quarter** count and examine the bags of his office for serviceability and adequacy of sizes. In Head Offices, the result shall be recorded in the **Postmaster's Order Book**.

Rule 316. List of Stamps and Seals Authorised**In Post Offices:**

Stamps	Remarks
Name-stamp with/without Pin code	All offices
Date-stamp with hour-type with/without Pin code	All offices
New round obliterator stamp	Offices with two or more deliveries daily
Round money order stamp; Combined oblong stamp; Postage Due stamp	All offices
Cash paid stamp	All Head Offices

Seals	Remarks
Date-seal; Registration seal	All offices
Parcel seal; Insurance seal; Sub-account seal; Cash seal	All Head Offices; Sub-offices on Supdt.'s order
Sorting seal	Head and Sub-Offices on Supdt.'s order

Rule 323. Scales to be Tested

The officer in charge shall occasionally examine scales and weights, test them, and satisfy himself that they are in good order and not subjected to rough usage.

Rule 329. Disposal of Damaged and Unserviceable Articles

Category	Disposal
Furniture, safes, sorting cases, bags (postmen), bicycles, letter-boxes, lamps etc.	Repaired locally if damaged. When unserviceable, sold by auction under proper authority.
Locks and padlocks	Must be returned to the Stores Depot — never repaired locally.
Badges, bags (mail), clocks, scales, stamps, seals	Repaired locally if possible; otherwise returned to Stores Depot for repair. When unserviceable/obsolete, returned to Stores Depot.
Obsolete forms and publications	Sold as wastepaper or used for making envelopes. If printed on one side only, sent to GOI Forms Press, Aligarh. Straw-board covers (not smaller

	than 8½" x 6¾") sent to Circle Stores Depots for transmission to Aligarh.
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Rule 330. Sale Proceeds of Unserviceable Articles

Proceeds of auction sales to be **credited to Government**. Valueless articles to be **destroyed**. Orders of the Superintendent must be obtained in every case before repair, sale or destruction.

SANCTIONED EQUIPMENT OF STATIONERY**Rule 341. Sanctioned Equipment**

No office can fix its own stationery equipment — this must be **sanctioned by Heads of Circles**, based on the average consumption for **six months**. Demands in excess of sanctioned equipment require the Head of Circle's sanction.

Rule 341-A. Fixed Stationery Charges (FSC) for Post Offices

Revised w.e.f. 01.07.2016 vide File No. 23-1/96-PAP, Government of India, Ministry of Communications & IT, Department of Posts (Establishment Division/P.A.P. Section), Dak Bhawan, dated 22nd July 2016. The earlier rates effective from 11.11.1999 stand superseded.

Item	Rate (per month)
Cost of closing and sealing one bag daily	Rs. 5.00
Cost of candles	Rs. 25.00
Cost of fixing 100 seals to closed insured envelopes	Rs. 10.00 per 100
Cost of twine/rubber bands for 100 labelled bundles / V.P. parcels	Rs. 1.50 per 100

Cost of paste for 100 Registered/Insured articles or registered bundles and official covers	Rs. 3.00 per 100
Cost of stationery for each member of supervisory staff in Post Office	Rs. 12.00 p.m.
Cost of stationery for each member of clerical staff (excluding LR clerks — men in position)	Rs. 14.00 p.m.
Cost of stationery for each Overseer (Mail and Cash), Postman and Village Postman	Rs. 17.00 p.m.
Cost of stationery for each Mail Peon and Departmental Stamp Vendor	Rs. 8.00 p.m.

Note 1. FSC to gazetted postmasters has been discontinued (w.e.f. 01.08.2002). However, the quantity and rate formulae continue to apply.

Note 2. The concerned Postmaster shall record a certificate on the bill that items covered by FSC are not being purchased separately.

Rule 341-AA. FSC for SBCO Staff

Revised w.e.f. 01.07.2016 vide File No. 23-1/96-PAP dated 22.07.2016. (Earlier rates of Rs. 2.10 and Rs. 3.35 effective from 11.11.1999 stand superseded.)

Item	Rate (per month)
Cost of stationery for each member of supervisory staff in SBCO of Head Post Office	Rs. 12.00 p.m.

Cost of stationery for each member of clerical staff (excluding LR clerks — men in position) in SBCO of Head Post Office	Rs. 14.00 p.m.
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These charges shall **not** be included in FSC for Post Offices as SBCO establishment is classified separately.

Rule 341-AB. FSC for IPOs/ASPOs

Revised w.e.f. 01.07.2016 vide File No. 23-1/96-PAP dated 22.07.2016. (The earlier revision from Rs. 53.50 to Rs. 100 p.m. w.e.f. 01.08.2002 has been further revised as below.)

Category	Rate (per month)
Inspectors of Posts (IPs) and ASPOs holding independent charge of a Sub Division	Rs. 450.00 p.m.

Rule 341-B. Stationery Allowance for GDS Offices

Effective from 01.08.2002 (rates unchanged by 2016 revision).

Category	Rate (per month)
GDS SPMs and GDS BPMs	Rs. 10.00
GDS MDs and GDS MCs	Rs. 5.00

- Carbon paper and sealing wax will be supplied departmentally.
- FSC admissible only to those GDS MCs who also perform the work of GDS MDs.

Note. No specific sanction of Divisional Superintendent is necessary for drawal of stationery allowance.

Rule 366. Stationery Register (RMS)

Every record clerk must keep a **stationery register in Form SK-8** showing: (a) articles in hand at the beginning of the month; (b) articles received from Stores Depot or as unconsumed from sections; (c) issues made during the month (with signatures of officials receiving the articles).

Rule 368. Articles of Stationery

The following are comprised in the term "articles of stationery": blank books, candles, cotton bales, dusters, guard-books, ink-powder, paper (including carbonic paper), pencils, pen-holders, pins, red tape, sealing-wax, stamp brushes, stamping-inks, steel nibs, sweeping brushes, tin seal-holders, twine, wicks (for sealing stoves).

Rule 369. Check of Stationery Register on Transfer

On transfer of charge, the relieving officer shall check all stationery against the register. Missing or damaged articles shall be noted in the remarks column, initialled by both officers, and a **report made to the Superintendent**.

Rule 370. Regular Indents (RMS)

Every record clerk shall prepare regular indents on the Stores Depot for: (1) articles of stationery (**Form SK-11**), and (2) sorting-case labels (**Form SK-12**).

Rule 371. Dates for Submission of Stationery Indents

Half Year Ending	Latest date by Record Clerk to Supdt.	Latest date: Supdt. to Stores Depot
30th September	10th February	25th February
31st March	10th August	25th August

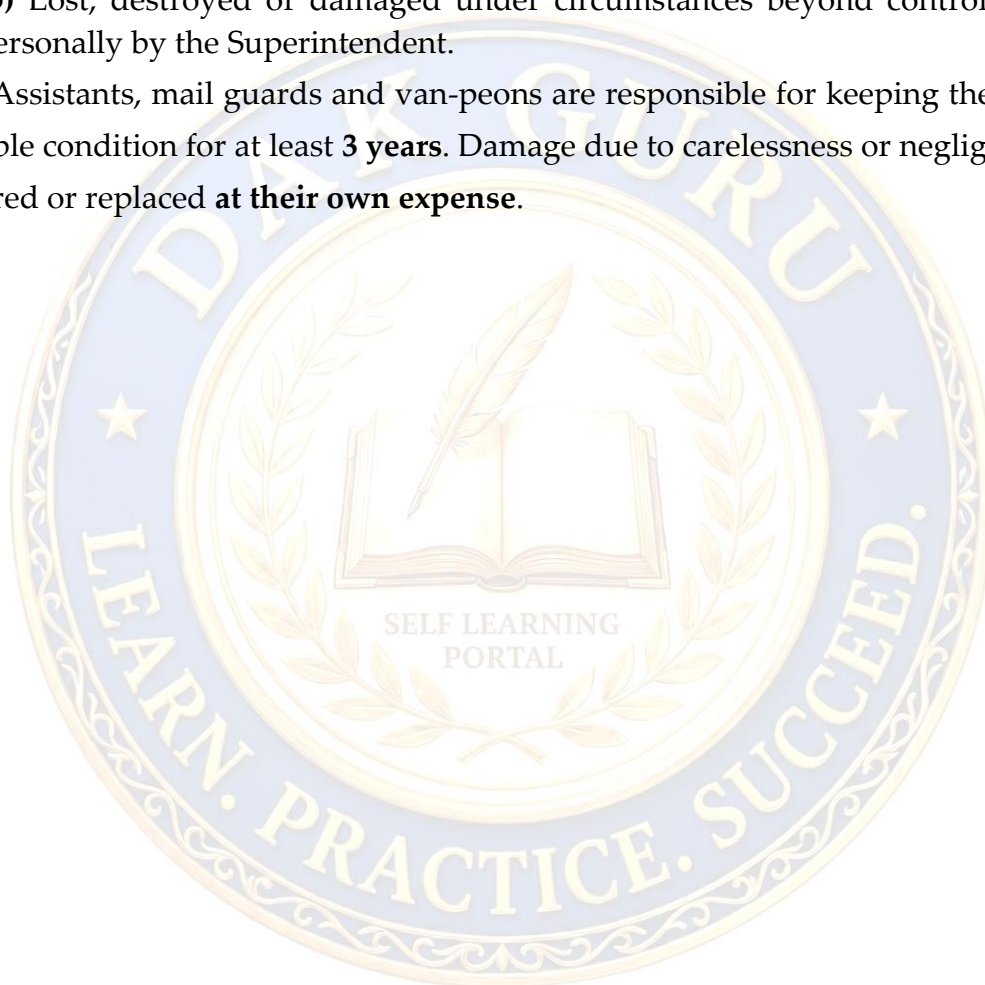
Note. Guard-books should be indented for **once in three years**.

Rule 383. Hand-Bags — Period of Responsibility

Date of issue shall be clearly and indelibly marked on each hand-bag. No demand for a new bag in replacement shall be complied with unless the bag has been:

- **(a)** In use for **not less than 3 years** (or **18 months** for bags made of old canvas), **or**
- **(b)** Lost, destroyed or damaged under circumstances beyond control, certified personally by the Superintendent.

Sorting Assistants, mail guards and van-peons are responsible for keeping their bags in serviceable condition for at least **3 years**. Damage due to carelessness or negligence shall be repaired or replaced **at their own expense**.



CHAPTER VIII: PRINTING

Rule 405. General Rules for Printing and Binding

The general rules for printing and binding are contained in the guidelines issued by the Government of India, **Directorate of Printing, Ministry of Housing and Urban Affairs (MoHUA)**, New Delhi.

Amendment Note. The earlier citation to the "Rules for Printing and Binding, 1986 Edition" issued by the Ministry of Urban Development stands updated. (i) The Ministry of Urban Development was **renamed Ministry of Housing and Urban Affairs (MoHUA) in 2017**. (ii) The 1986 Rules have been superseded by subsequent guidelines from the Directorate of Printing. Practitioners should refer to the current guidelines available from the Directorate of Printing under MoHUA. All printing procurement is additionally governed by **GFR 2017 and GeM norms**.

Rule 406. Prior Sanction for Printing

No books, pamphlets, correction memos or similar matter shall be printed without the **prior sanction of the Director-General**, unless such printing has been authorised by any general or special orders on the subject.

Rule 407. Authorised Forms Only

The only printed forms authorised for general use in the Department are those given in the:

- **Book of Standard Printed Forms**, and
- **Postal Books of Initial Account Forms**

No new form can be introduced and no existing form may be altered without the **prior sanction of the Director-General**. The Director-General communicates with the Manager, Government of India Forms Press, Aligarh, regarding alterations or introduction of new/revised forms.

Rule 408. Notification of Alterations

All alterations to forms or introduction and issue of new forms will be **notified in the Director General's circulars.**

Rule 409. Disposal of Existing Stock Before New Form

Whenever it has been decided to alter or cancel an existing form, the Director-General will issue orders regarding the disposal of the existing stock. Ordinarily, **a new form will not be issued until the old stock has been used up.**

Rule 410. Size of Publications

All publications must be printed in **A-4 size** as far as practicable.

Rule 411. Classification for Profit and Loss Account

For purposes of the Profit and Loss Account, all orders to print new books, pamphlets and forms must indicate one of the following classes:

1. **Postal**
2. **General (Postal)**

Rule 413. Printing at Private Presses

The rules regarding printing at private presses are governed by the guidelines of the **Directorate of Printing under MoHUA**. Translations in local Indian languages of notices announcing changes in rates, rules regarding abbreviated addresses, deposit system etc., may be printed at local presses by Heads of Circles, provided the applicable conditions are fulfilled.

Amendment Note. The earlier reference to "Rule 32 of the Rules for Printing and Binding, 1986 Edition" is superseded. Heads of Circles should follow current Directorate of Printing guidelines. Additionally, all printing procurement must comply with **GeM/GFR 2017 procurement norms.**

Rule 414. Printing and Publication Under Orders of Government

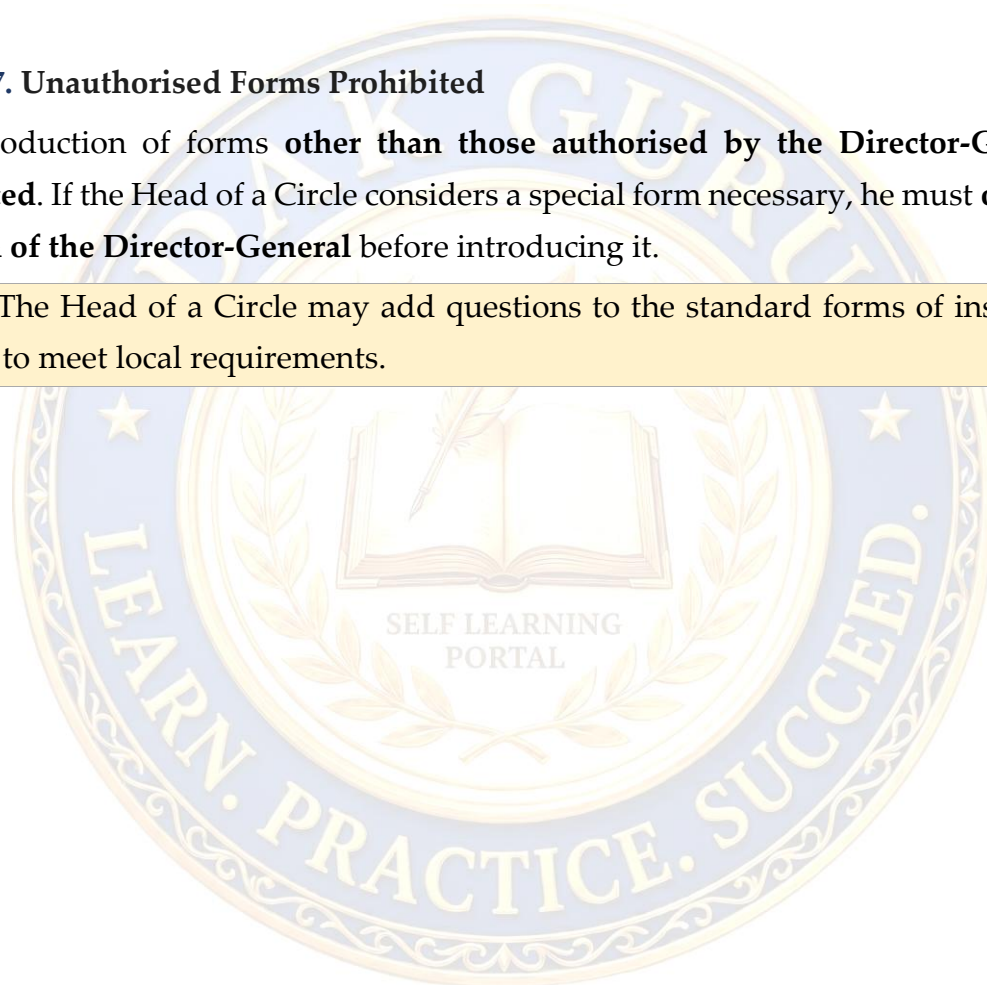
Printing and publication under the orders of Government — including preparation of plates, maps etc. required for illustrations — must, as a rule, be done **in India**. In special cases where there is good reason to do otherwise:

- Prior sanction of the **Director General, Directorate of Printing, Ministry of Housing and Urban Affairs, New Delhi** must be obtained.
- The rates to be paid must be **previously approved** by the competent authority.

Rule 417. Unauthorised Forms Prohibited

The introduction of forms **other than those authorised by the Director-General** is **prohibited**. If the Head of a Circle considers a special form necessary, he must **obtain the sanction of the Director-General** before introducing it.

Note. The Head of a Circle may add questions to the standard forms of inspection report to meet local requirements.



CHAPTER IX: CONTRACTS

Important — GFR 2017 & GeM Framework. The General Financial Rules, 2017 (updated up to 31.07.2024) supersede all earlier GFR frameworks. Under **Rule 149 of GFR 2017**, procurement of common use goods and services available on **Government e-Marketplace (GeM)** is mandatory. For procurements outside GeM, a "GeM Availability Report and Past Transaction Summary" (GeM AR & PTS) is mandatory (w.e.f. 01.07.2020, OM No. F.6/18/2019-PPD dated 23.01.2020). For procurements above the prescribed threshold, **mandatory e-tendering through CPPP (eprocure.gov.in)** applies as per GFR 2017 Rule 160.

Rule 418. Recognised Systems — Piece-Work and Contract Work

- **Piece-work** — Only a rate is agreed upon, without reference to the total quantity or the time within which work is to be done.
- **Contract work** — An agreement specifying the quantity of work to be done or material to be supplied, and the time within which it is to be completed.

All work done or supply made under a written agreement is termed a "**Contract**". Contracts **should invariably be in writing**.

Rule 419. Contract Must Be Clear and Definite

Every contract must be framed so as to be **perfectly clear**, specifying:

- Dates on which the work is to be **commenced and completed**
- The **rate or sum total** agreed upon

All particulars should be written in **English** and, if possible, in the **local Indian language** of the contractor.

Rule 419/1. General Principles for Entering Into Contracts

The fundamental principles to be observed are:

3. Terms must be **precise and definite** — no room for ambiguity or misconstruction.
4. **Legal and financial advice** should be taken in drafting contracts and before they are finally entered into.

5. **Standard forms** of contracts should be adopted wherever possible, subject to adequate prior scrutiny.
6. Terms of a contract **once entered into should not be materially varied** without the previous consent of the officer competent to accept the tender as so varied.
7. No contract involving **uncertain or indefinite liability** or any condition of an unusual character shall be entered into without the previous consent of the competent financial authority.
8. Wherever practicable, contracts should be placed only after **tenders have been openly invited**. Where the lowest tender is not accepted, **reasons should be recorded**.
9. In selecting the tender to be accepted, the **financial status** of the individuals and firms tendering must be taken into consideration.
10. Even where no formal written contract is made, **no order for supplies shall be placed without at least a written agreement as to price**.
11. Provision must be made in contracts for **safeguarding Government property** entrusted to a contractor.
12. The **Auditor-General** has power to examine contracts and bring before the Public Accounts Committee any cases where competitive tenders were not sought, or where high tenders were accepted, or where other irregularities in procedure have come to light.

Rule 420. Responsibility of the Officer Despite Contractor

The employment of a contractor **does not relieve the officer in charge** of a work from responsibility as to the manner or time in which the work is done. Contracts should always give the officer **full power to act for himself** in case the contractor delays or fails to do the work to his satisfaction.

Rule 420/1. Register of Contracts

A **register of contracts** shall be maintained in Circle Offices, Divisional Offices and 1st class Head Offices. It shall be examined **once a month** and all contracts due to expire within the **next 12 months** shall be taken up immediately for renewal action.

- In Circle Offices, the duty of monthly checking shall be assigned to an officer **not below the rank of an Assistant Postmaster General**.
- Officers inspecting Divisional Offices and 1st class Head Offices shall verify that this register is properly maintained and that timely action is taken.

Rule 420/2. Copies of Contracts to be Furnished to Audit

Copies of contracts of all descriptions executed by officers **higher in rank than Divisional Engineers and Superintendents of Post Offices**, and those executed by any authority irrespective of value, shall be furnished to the respective Audit Offices for scrutiny, in accordance with current audit instructions. This includes all orders for direct purchases of stores (other than those made through the GeM portal or through open tender).

Amendment Note. The earlier reference to Rs. 50,000 as the threshold and to DGS&D (now abolished) has been updated. Under GFR 2017, the audit scrutiny framework is governed by the Comptroller and Auditor General's audit norms and does not retain the old Rs. 50,000 ceiling. The reference to DGS&D stands deleted — DGS&D was formally closed on **31 October 2017** and replaced by **Government e-Marketplace (GeM)**.

Rule 422. Contract Documents

Before a work is given out on contract, the executive officer must prepare **contract documents** comprising:

1. A complete set of **drawings** showing general dimensions and details.
2. A complete **specification** of the work to be done and materials to be used.
3. A **schedule of quantities** of the various descriptions of work.

Rule 423. Submission of Contract Documents to Higher Authority

If the amount of tender is likely to be **beyond the executive officer's power of acceptance**, he shall submit the contract documents to the next higher authority for approval before publicly inviting tenders, along with a copy of the proposed advertisement and the form in which tenders are to be submitted.

Rule 425. Calling for Tenders

(1) Tenders, which shall **always be sealed**, shall be called for in **Form 51(a)** for conveyance of mails by any mode. They shall be invited in the **most open and public manner** possible — by advertisement in the Government Gazette, local newspapers, on the **Central Public**

Procurement Portal (CPPP — eprocure.gov.in), or by public notice. The notice must state:

- Where and when contract documents can be seen and blank tender forms obtained.
- Where, when and at what time tenders are to be **submitted and opened** — for large contracts, at least **one month** after the date of first advertisement.
- The amount of **earnest money deposit** required with the tender and the **security deposit** required upon acceptance.
- With whom or what authority the acceptance of the tender will rest.

(2) Any attempt at **direct or indirect negotiation** by a tenderer with the accepting authority after submitting his tender, or any endeavour to influence the acceptance of a particular tender, will render the tender **liable to exclusion from consideration**.

(3) When calling for tenders for mail motor or other services, it must be clearly stated that **no special facilities** will be given to the successful tenderer unless specifically agreed upon with an adequate abatement from the remuneration.

Amendment Note (GFR 2017). In addition to Gazette/newspaper/public notice, **e-tendering through CPPP (eprocure.gov.in) is mandatory** for procurements above the prescribed threshold as per GFR 2017 Rule 160 and OM No. F.18/3/2017-PPD dated 25.07.2017. Tender notices in newspapers alone are not sufficient for central government procurements above the threshold.

Rule 425/1. Tenders to be Called Sufficiently in Advance

Tenders shall be called for **sufficiently in advance** so that Heads of Circles have ample time to examine all tenders received and accept the best tender after obtaining the sanction of the Director General or the Government of India where necessary.

Rule 426. Opening of Tenders

At the advertised time and place, **all tenders for the same contract shall be opened by the Executive Officer in person**, in the presence of such tenderers or their agents as may choose to attend. **No tender shall be accepted from any person directly or indirectly connected with the Government service.**

Note. The contents of all tenders need not necessarily be read aloud; but if any tenderer present so desires, the amounts tendered by the different tenderers may be read out.

Rule 426/1. No Revision of Tenders After Opening

After tenders have been opened and taken into consideration, **no revision or abatement of any tender shall in any circumstances be permitted.** No negotiations shall be entered into with any particular tenderer to modify his tender in order to reduce it to the level of any other competitor.

Rule 427. Earnest Money Deposit

As a rule, **no tender for execution of works shall be received unless accompanied by a deposit of cash as earnest money.** The amount shall be sufficiently large to be a security against loss if the contractor fails to furnish the required security deposit after acceptance.

Exceptions — No earnest money required from:

- **(a) Sellers/vendors registered on the Government e-Marketplace (GeM)** portal for supply of the relevant goods/services.
- **(b) Micro and Small Enterprises (MSEs)** registered with the Ministry of MSME or its authorised agencies, as per current MSE procurement policy.
- **(c) Public Sector Undertakings** registered with the Department or on GeM.

Amendment Note. The earlier references to "DGS&D registration" in clauses (a), (b) and (c) have been replaced. The **Directorate General of Supplies and Disposals (DGS&D) was formally closed on 31 October 2017** and replaced by the **Government e-Marketplace (GeM)**, launched on 9 August 2016 under the Ministry of Commerce and Industry. All registration-related exemptions are now applicable under GFR 2017 framework. MSE/NSIC references are updated per current MSME procurement policy.

Note. In cases of leases of buildings, deposit or earnest money need not normally be required with the tender.

Rule 428. Amount of Earnest Money

The amount of earnest money shall be sufficiently large to be a security against loss in case of the contractor failing to furnish the required security within the appointed time after acceptance of his tender.

Rule 429. Acceptance of Tenders

Usually the lowest tender should be accepted, unless there is objection to the capability of the contractor, the security offered, or his execution of former work. If the lowest tender is not accepted:

- Reasons shall be recorded confidentially in writing.
- Prior approval of the next higher authority shall be obtained.

Rule 430. Security for Performance of Contracts

Security shall be taken for the due fulfilment of a contract in accordance with **Rule 171 of GFR 2017** (as amended by FinMin OM dated 29.12.2023), with the following exceptions:

(1) Sellers registered on **GeM**, subject to conditions:

- The seller must be registered for the **particular goods/services** proposed to be procured.
- The procurement must be **through the GeM portal** in compliance with GFR 2017 Rule 149.

(2) **MSEs registered with MSME** or its authorised agencies (under current MSE procurement policy).

(3) **Public Sector Undertakings** registered with the Department or on GeM.

(4) **Purchases up to Rs. 25,000** (direct purchase without quotations as per GFR 2017, Rule 154), provided the purchasing authority is satisfied that there is no likelihood of loss and the supplier's bona fides are beyond doubt.

(5) In cases other than works contracts, the security/performance security deposit may be demanded at a minimum of **5%** and a maximum of **10%** of the contract amount, as per Rule 171 of GFR 2017.

Amendment Note. (i) All references to "DGS&D" deleted — DGS&D closed 31.10.2017; replaced by GeM. (ii) The petty purchase limit has been revised from the

old Rs. 500 to **Rs. 25,000** as per GFR 2017 Rule 154. (iii) The old ceiling of Rs. 75,000 on security deposit has been removed in line with GFR 2017 Rule 171.

Rule 431. Standard Forms of Contracts for Conveyance of Mails

Form	Purpose
Form M-50	Agreement for conveyance of mails by wheeled carriages/mail carts drawn by horses, mules or camels
Form M-50(a)	Agreement for conveyance of mails by motor vehicles in rural areas
Form M-50(b)	Agreement for conveyance of mails by mazdoors, pack mules and ponies
Form M-51	Revised Agreement for conveyance of mails by motor vehicles
Form M-51(a)	Revised Notice Inviting Tender (NIT) form
Form M-51(b)	Revised Tender form — Technical Bid
Form M-51(c)	Revised Tender form — Price Bid

Rule 432. Enforcement of Contract Terms

Executive Officers and their subordinates are responsible that the **terms of contracts are strictly enforced**, and that no act is done tending to nullify or vitiate a contract. All contract deeds must be executed on one of the **standard forms**.

Contracts containing **unusual conditions** shall not be entered into without the previous consent of the **Financial Adviser and competent authority in the Ministry of Communications / Integrated Finance Wing**. Material variations in a contract entered into with the concurrence of the Finance Wing shall not be made without prior sanction.

Amendment Note. The earlier reference to "Joint Secretary, Ministry of Finance (Communications)" has been updated. The correct current designation for financial

concurrence on contracts in the Department of Posts is the **Integrated Finance Wing of the Ministry of Communications**. Practitioners should consult current delegation of financial powers and the Ministry's financial management framework.

Exception 1. The Head of Circle may, at his discretion, delete the **determination clause** from the standard lease form (Gen. 8) where:

- A building is specially built for or extensive alterations have been made at the request of the Department, or
- No other suitable building is available and the office cannot be closed — in which case the term **shall not exceed 5 years** without the Director General's approval.

Exception 2. The Head of Circle may delete the **renewal clause** from the standard lease form if the landlord objects to its retention.

Rule 432-A. Arbitration in Contract Disputes

When a dispute arises under a contract containing an **arbitration clause**, legal advice should be obtained immediately. If the parties cannot reach a settlement, the dispute shall be submitted for **arbitration** per the contract's provisions.

Key instructions:

- There shall be **no joint submission** with the contractor — each party submits its own claim separately.
- The onus of establishing claims shall be **left to the contractor**.
- Claims in the nature of **ex-gratia payments** are not contractual and need not be submitted to arbitration.
- In cases involving **heavy amounts**, the advice of the **local legal representative** shall be taken and the defence conducted preferably by the **Government pleader**.
- The arbitration venue is the **office of the Director General of Posts, New Delhi**, or such other place as the arbitrator decides.

Amendment Note — Arbitration & Conciliation Act. The Arbitration and Conciliation Act, 1996 has been significantly amended. Parties and officers handling arbitration must be aware of:

- **2015 Amendment (Act No. 3 of 2016, w.e.f. 23.10.2015):** Mandatory time limit of **12 months** for arbitral proceedings (extendable by 6 months with mutual consent — Section 29A). Fast-track procedure for completion within 6 months (Section 29B). Neutrality requirements for arbitrators (Fifth and Seventh Schedules).

- **2019 Amendment (Act No. 33 of 2019, w.e.f. 09.08.2019):** Established the **Arbitration Council of India**. Revised appointment procedure — applications for appointment now go to the Supreme Court / High Court or designated institution.
- **2021 Amendment (Act No. 3 of 2021, w.e.f. 11.03.2021):** Provision for automatic stay on arbitral awards if court prima facie finds fraud or corruption involved (Section 36).
- **2023 Amendment (Act No. 32 of 2023):** Further provisions relating to international commercial conciliation.

Rule 433. Stamping of Contract Documents

Contracts, deeds and other instruments executed by contractors, to which the Government is a party, shall be **stamped before execution**. When the stamp duty is payable by the contractor but agreed to be borne by Government, the deed must specifically contain a provision to that effect.

Note. Under the **Indian Stamp Act, 1899** (as amended by Finance Act, 2019, with effect from 01.07.2020), Government's claim for exemption from stamp duty is valid only when Government is liable to pay the **whole** of the stamp duty — not merely a part of it. Practitioners should refer to the current amended provisions of the Indian Stamp Act, 1899 as applicable to the type of instrument concerned.

Amendment Note. The Indian Stamp Act, 1899 was amended by the **Finance Act, 2019**, with the amendments coming into force from **1 July 2020**. The amendments primarily rationalized stamp duty collection on financial instruments through a centralized mechanism. The core exemption principle for Government contracts (whole liability = valid exemption) remains intact.

Rule 434. Advances to Contractors

Advances to contractors are **as a rule prohibited**. Exceptions:

(a) A Head of Circle may sanction advances on the security of **materials brought to site**, subject to:

- Value of materials assessed by the officer-in-charge.
- Materials are of an **imperishable nature**.
- Advance shall **not exceed 75%** of the assessed value of the materials.

- A formal agreement securing a **Government lien** on the materials shall be drawn up.
 - Recoveries shall not be postponed until completion of work.
- (b) Advances in small amounts, as authorised by the Head of Circle when absolutely necessary in the interest of the work.
- (c) In all other exceptional cases, advances require the **sanction of the Government of India**.

Rule 434-A. Advances to Local Bodies / Quasi-Government Organisations

Heads of Circles may give advances to Municipalities, Power Supply Companies, local bodies or quasi-Government organisations for execution of works on behalf of the Postal Department in connection with projects sanctioned by competent authorities. Such advances must be **fully adjusted** against the cost of the sanctioned project.

Amendment Note. The earlier maximum limit of Rs. 5,000 was from an old departmental order and is completely impractical in the current economic context. The applicable limit is governed by the current **Delegation of Financial Powers to CPMG/PMG/Directors Postal Services**, as revised from time to time. Officers should refer to the latest DFPR/DOP delegation order in force.

Rule 438. Contracts Exceeding Delegated Financial Powers

No contract **exceeding the delegated financial power of PMG/CPMG** (as amended by the IF Wing of the Postal Directorate) shall be entered into or renewed by a Head of Circle on behalf of the President of India without:

- First submitting the **draft tender documents to the Director General** for approval, and
- Obtaining **sanction to its execution**.

Rule 439. Contracts for Conveyance of Mails — Same Rule Applies

Rule 438 applies equally to contracts for conveyance of mails exceeding the delegated financial power. If minor modifications to standard forms are required, **prior approval of the Director General's office** shall be taken. A copy of every contract for a value

exceeding the delegated financial power shall be sent to the **Director General's office for record** after execution.

Exception. A Head of Circle may sanction the introduction of a **contract system for treasury work** in post offices, subject to:

- The subsidy payable to the contractor **does not exceed Rs. 350 a month**, and
- The amount of subsidy is **not more than the departmental cost** involved.

Rule 441. Tenders for New/Renewed Mail Contracts

When introducing new mail conveyance arrangements, or when a current contract is due to expire, tenders shall be obtained **sufficiently in advance** of the date of commencement/expiry.

Rule 441-A. Emergent Arrangements Without Competitive Tenders

If competitive tenders cannot be called in any particular case, **prior approval of the Director General** shall be obtained. However, in **emergent cases**, the Head of Circle may, without calling for tenders and without reference to the Director General, make **temporary arrangements for conveyance of mails for a period not exceeding 6 months**, provided the remuneration does not exceed the **delegated financial powers of the CPMG/PMG** in each case.

The Head of Circle may also make arrangements with any nominee of a **Ministry of State, Ministry of External Affairs, a State Government, or a monopolist** without competitive tenders, provided the amount does not exceed the delegated financial powers of CPMG/PMG.

Rule 441-B. When No Satisfactory Tender Received

If no tender received is satisfactory, or no tenders are received at all, it is open to the officer who called for tenders **to open negotiations with any tenderer or other party** after all the tenders received have been rejected.

Rule 441-C. Single Tender — Prior Approval Required

Heads of Circles and Divisional Officers shall obtain **prior approval of the next higher authority** for acceptance of a **single tender**. The competent authority may use his discretion on whether to call for tenders a second time.

Rule 443. Selection of Tenderer

In making the final selection of a tenderer, the following shall be considered:

- (i) The ability to provide and maintain **efficient service at his own expense** and previous experience.
- (ii) The **remuneration demanded** by the tenderer.
- (iii) Willingness to execute the agreement in the **standard form approved by the Director-General**.

When a tender **other than the lowest** is accepted:

- **Detailed reasons** for rejection of all lower tenders shall be recorded.
- An authority **below the rank of Head of Circle** shall accept a non-lowest tender **only after prior approval of the Head of Circle**.

Rule 444. Security Deposit Before Commencement of Work

Before the contractor actually takes up the work, he shall be required to **deposit the agreed security amount** in Form 51(c).

Rule 445. Power to Alter Schedule of Trips

The power to make any alteration in the Schedule of trips rests with the **Head of Circle**. Where such alteration necessitates the employment of more vehicles or increased mileage, the matter shall be referred to the **Director General** if the increase in remuneration is not within the Head of Circle's power of sanction.

KEY PROVISIONS OF MAIL MOTOR CONTRACT (FORM M-51)**Liability for Penalties (Clause 14)**

Default	Penalty
Failure to complete any journey	Rs. 15 per km
Delay not more than 1 hour	Rs. 8 per km
Delay more than 1 hour, not more than 2 hours	Rs. 10 per km
Delay more than 2 hours, not more than 3 hours	Rs. 11 per km
Delay more than 3 hours	Rs. 11.50 per bag
Failure to deliver/take up any article or mail bag	Rs. 5 per bag
Delay in delivery/taking up — 1st day	Rs. 5 per bag
Delay in delivery/taking up — 2nd day	Rs. 6 per bag
Delay in delivery/taking up — each subsequent day	Rs. 7 per bag
Failure to stop at any intermediate station	Rs. 50 per station

Contractor not liable if default is caused by: Act of God, violence of an army or mob, or other irresistible force, robbery or dacoity, or closing of road by the District Board/PWD/Police to motor vehicles.

Escalation Clause (Clause 16)

If the price of fuel on the **1st day of any calendar month** is more or less than the **basic price** (price prevailing on the first day of the month in which the invitation to tender was issued), the remuneration shall be increased/decreased at the prescribed rate for every change in fuel price from the basic price.

Claims for increase/decrease may be made **within 90 days** by either party.

Amendment Note — Escalation Formula. The earlier formula expressed in "paise per km per one paise per litre" ($\frac{1}{4}$ paise/km and $\frac{1}{8}$ paise/km) is obsolete and economically meaningless as fuel prices are now expressed in **rupees per litre** (typically Rs. 90–110/litre range). The actual escalation formula for current contracts is specified in the latest version of **Form M-51** issued by the Directorate of Posts. Officers must refer to the current NIT/Form M-51 in force for the applicable escalation mechanism expressed in rupees.

Security Deposit (Form M-51)

The contractor shall furnish **5% of the total value of the contract** in one of the following forms:

- Post Office Certificates (at issue price) pledged to the CPMG/PMG/Director Postal Services.
- Deposits in Post Office Savings Bank, pledged to the appropriate authority.
- **Bank Guarantee** (for contracts of high value).

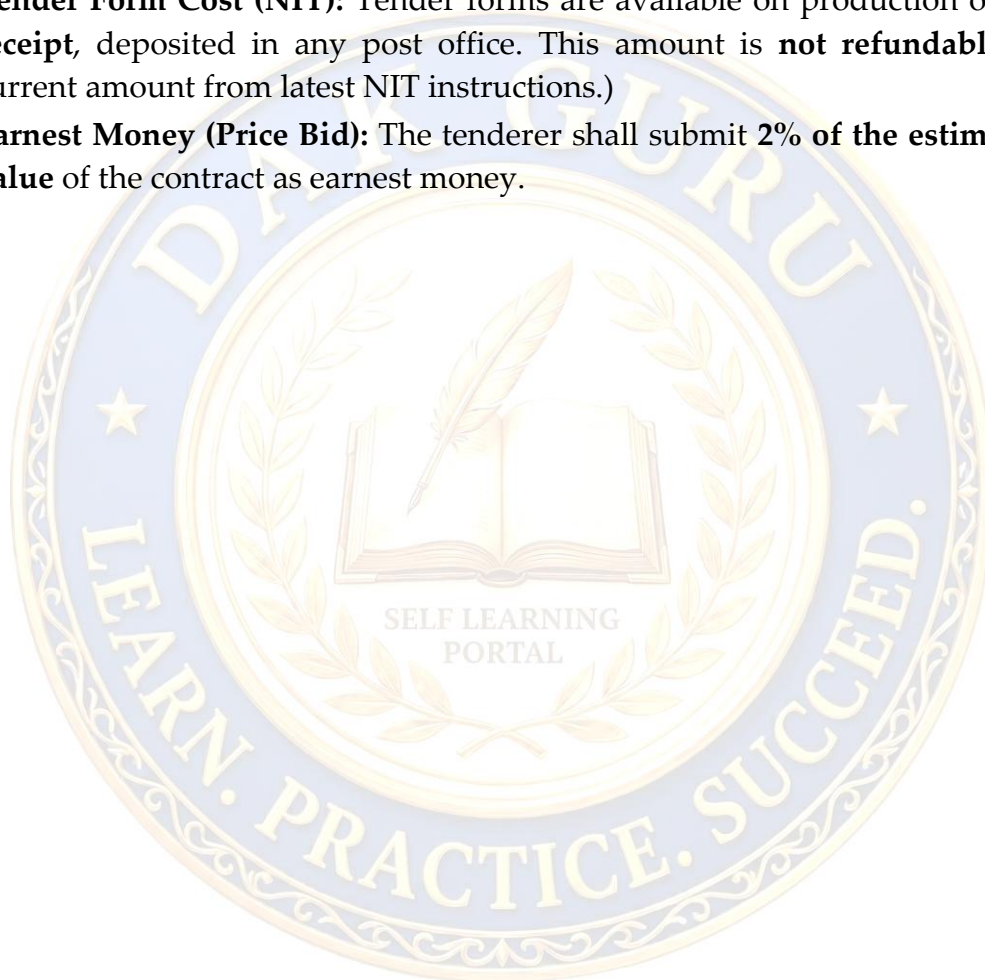
Vehicle Specifications (Form M-51 / NIT)

Type	Max km run	Max age	Min capacity load
Three-wheeler delivery van	60,000 km	3 years	450 kg
Four-wheeler (small)	75,000 km	4 years	500 kg
Four-wheeler (medium)	1,00,000 km	5 years	1,500 kg
Four-wheeler (large)	1,00,000 km	5 years	3,000 kg

Other Key Contract Provisions

- **Monthly Remuneration Payment:** Contractor submits bill **on or before the 15th** of succeeding month; paid within **30 days** of presentation.

- **Contract Termination Notice:** 3 calendar months' notice in writing (Form M-51). Under Form M-50: 6 calendar months.
- **Transfer of Contract:** Contract shall **not be transferred** to any person or company without the previous written consent of the DG Posts/Head of Circle/Superintendent/Postmaster.
- **Death of Contractor:** Government may either **immediately determine the contract** or require heirs/legal representatives to carry it out for a period **not exceeding 6 months**.
- **Tender Form Cost (NIT):** Tender forms are available on production of **ACG-67 receipt**, deposited in any post office. This amount is **not refundable**. (Verify current amount from latest NIT instructions.)
- **Earnest Money (Price Bid):** The tenderer shall submit **2% of the estimated total value** of the contract as earnest money.



CHAPTER XII: BUDGET ESTIMATES AND CONTROL

Important — Budget Framework Update. From Union Budget 2017-18, the distinction between "Plan" and "Non-Plan" expenditure has been **abolished**. All expenditure is now classified as **Revenue or Capital** expenditure only. The "Committee on Non-Plan Expenditure (CNE)" framework (Rule 756-A) has been updated accordingly. Budget procedures are now also supported by the **Public Financial Management System (PFMS)** for real-time digital tracking of expenditure. The applicable legislation governing postal services is the **Post Office Act, 2023** (in force from 18 June 2024), which replaced the Indian Post Office Act, 1898.

GENERAL PRINCIPLES

Rule 743. Sanctioning Authorities for Expenditure

All expenditure of the Department of Posts is incurred against grants sanctioned each year under specified heads in the Budget Estimates. The authorities empowered to sanction grants are:

Type of Expenditure	Sanctioning Authority
"Voted" expenditure	Parliament
"Charged" expenditure	Government of India, Ministry of Finance

Note. The criteria for classifying expenditure as "Voted" or "Charged" are given in Appendix No. 5 to this Volume.

Rule 744. Basis of Demands for Grants

The demands for grants — both original and supplementary — submitted to Parliament and the grants sanctioned by the Ministry of Finance are based on **estimates of requirements submitted to the Government of India by the Director General of Posts**.

Rule 745. Appropriation and Re-Appropriation

- **Appropriation** — The assignment of funds for expenditure on a specified object out of the sanctioned grants.
- **Re-appropriation** — The transfer of funds originally granted under one head to supplement the grants under other heads.

Fundamental restrictions on re-appropriation:

4. Funds granted for "**Charged**" items **may not** be re-appropriated to meet "Voted" items, and vice versa.
5. **No re-appropriation** may be made from the grant under one **major head** to another major head.

Note. An extract of the relevant rules of the Book of Financial Powers dealing with appropriation and re-appropriation is reproduced in Appendix 4 to this Volume. See also **GFR 2017 Rules 50–55** on appropriation and re-appropriation, and the revised guidelines on re-appropriation per FinMin OM dated 01.04.2024.

If essential expenditure cannot be covered by permissible re-appropriation, application must be made to the Government of India for a **supplementary grant**. Such grants require the sanction of Parliament (if "Voted") or the Ministry of Finance (if "Charged").

Rule 746. Prohibition Against Excess Expenditure

It is **strictly forbidden** to incur expenditure chargeable to any head under which the unexpended balance of the sanctioned grant (as modified by duly authorised re-appropriations) is insufficient to cover the expenditure.

Rule 747. Lapse of Unexpended Grants

The **balances of all grants unexpended on the 31st March** of the year **lapse** — no expenditure incurred after that date can be met from such balances; it is chargeable against the grants of the year in which it is incurred.

Rule 748. Appropriation Accounts

After accounts of each year are closed, the **Postal Accounts** prepares and submits to the **Comptroller and Auditor General** the appropriation accounts with his report, comparing actual expenditure under each head with the corresponding sanctioned grant.

These are in due course considered by the **Public Accounts Committee**, before which the Director General has to appear to explain excesses, lapses and other irregularities.

PREPARATION OF ESTIMATES

Rule 749. Types of Estimates

Type	Purpose
(a) Preliminary Schedule of Demands	Best estimate of revenue and expenditure for the next year, submitted early in December
(b) Budget and Revised Estimates	Accurate, detailed information on anticipated revenue and expenditure for Parliament and Government
(c) Three-monthly Estimates	Important modifications anticipated in budget figures for the current year
(d) Six-monthly Estimates	Probable modification of sanctioned budget estimates based on actuals for six months

Rule 750. Preliminary Schedule of Demands

Intended to convey to the Government of India the best estimate that can be formed **early in December** of the revenue and expenditure of the next year.

Rule 751. Budget and Revised Estimates

Framed to furnish the Government of India and Parliament with **accurate and detailed information** regarding the anticipated revenue and expenditure of the **ensuing and current years**.

Rule 752. Three-monthly and Six-monthly Estimates

These place before the Government of India **information on probable modifications** to the sanctioned budget estimates, having regard to actuals for three and six months respectively, and other relevant factors.

Rule 753. Responsibility for Budget Preparation

The responsibility for preparation of the budget estimates of the Indian Postal Department lies with the **Director General of Posts**. Material is obtained from **Heads of Circles** and others concerned. The **Postal Accounts** prepares and submits revenue estimates and renders assistance in budget preparation.

Rule 753-A. Standing Charges vs. New Expenditure

Budget estimate amounts are divided into two parts:

- **Standing charges** — Charges that recur year to year but are not dependent on the volition of the Head of the Department (e.g., permanent establishment, TA, contingent expenditure). These form the larger portion.
- **New expenditure** — All new items, which come under detailed Government scrutiny even if within the financial competence of a subordinate authority.

Estimates under each part shall be prepared **separately**.

Rule 754. New Expenditure — Prior Approval Required

No provision for new expenditure may be included in the Budget without the **prior approval of competent authority**. "New Expenditure" means not only expenditure on new schemes but also any **abnormal increase** in budget provisions for expenditure under existing heads.

Rule 755. Submission of Proposals for New Expenditure

All proposals for new expenditure shall be submitted for the approval of the **Financial Adviser and Joint Secretary, Ministry of Communications / Department of Expenditure, Ministry of Finance**, as applicable. The **latest date for submission is 15th**

November. Ordinarily, no proposals will be accepted after that date. Proposals for works shall also be submitted for appropriate financial approval.

Expenditure Finance Committee (EFC) / Standing Finance Committee (SFC) reference is required for proposals for New Services or expansions to existing services, as per the revised financial limits. Practitioners must consult the **Department of Economic Affairs O.M. No. F.1(22)-B(AC)/2022 dated 23 February 2024** (which supersedes all earlier EFC threshold orders) for current applicable limits.

Amendment Note — EFC Thresholds Revised (2024). The earlier thresholds of Rs. 1 crore (non-recurring) and Rs. 20 lakhs per annum (recurring) from the 2006 OM are **superseded** by the DEA O.M. No. F.1(22)-B(AC)/2022 dated 23.02.2024. GFR 2017 Rule 63 governs New Service / New Instrument of Service (NS/NIS) cases. FinMin OM dated 01.04.2024 amended Annexure-I to Appendix-3 of GFR 2017 accordingly. Officers must refer to the current revised limits.

If it becomes necessary to incur expenditure in anticipation of EFC/SFC approval, the **approval of the Finance Minister** shall be obtained before any expenditure is incurred.

Rule 756-A. Expenditure Approval — Post-2017 Framework

Major Amendment — Plan/Non-Plan Distinction Abolished. The "Committee on Non-Plan Expenditure (CNE)" framework has been substantially changed following the **abolition of the Plan/Non-Plan distinction from Union Budget 2017-18**. All Government expenditure is now classified as **Revenue or Capital** only. The earlier CNE table with "Non-Plan proposals" is no longer operative in its original form.

Under the revised framework, the appraisal of expenditure proposals follows the **EFC/SFC/Cabinet route** based on financial thresholds as revised by DEA OM dated 23.02.2024. The Standing Finance Committee of the concerned Department (chaired by Secretary) appraises proposals within the revised financial limits. Proposals exceeding departmental financial powers are referred to the appropriate appraisal forum up to Cabinet/CCEA as per the current delegation framework.

Rule 757. Timely Submission of New Item Proposals

Proposals involving new expenditure shall be submitted in **ample time** before the prescribed date. All proposals originating with Heads of Circles shall be sent so as to reach the Director General's office **not later than 15th September**. All proposals for works expenditure shall reach the Director General **by 31st July** at the latest.

Rule 760. Main Heads and Demand Units

The provision for expenditure of the Department of Posts is sanctioned under the following heads:

Expenditure met from Revenue:

- (i) Demand for Expenditure met from Revenue of the Indian Postal Department
- (ii) Demand for payment of Dividend to General Revenues, Appropriation to Reserve Funds and repayment of Loans

Major Head 3201 — Postal Services:

Sub-head	Description
01	General Administration
02	Operation
03	Agency Services
04	Accounts and Audit
05	Engineering
06	Amenities to Staff
07	Pension
08	Stationery and Printing
60	Other Expenses

Capital Section — Major Head 5201:

Sub-head	Description
(1) 202	Administrative Offices
(2) 101	Postal Network
(3) 203	Staff Quarters
(4) 204	R.M.S. Vans
(5) 800	Other Expenditure
(6) 104	Mechanisation & Modernisation of PSD
(7) 205	Civil Engineering Suspense
(8) 003	Training

Revenue — Major Head 1201: Postal Receipts**Rule 763. Submission of Preliminary Schedule of Demands**

The Preliminary Schedule of Demands is prepared in the Director General's Office and submitted through the **Ministry of Communications** to the **Department of Expenditure, Ministry of Finance** on the **7th December** of each year.

Rule 768-C. Procedure in Circle Offices — Budget Estimates

Estimates shall be submitted by Circles in **two separate Parts**:

- **Part I — Form Bgt. 2 — Standing Budget only**
- **Part II — Forms Bgt. 17, 17A, 18, 18A, 19, 19A and 20 — New items of expenditure only**

Rule 768-D. Preparation of Standing Budget Estimates

Statements in Form Bgt. 2 shall be compiled separately for each abstract in Circle Offices, containing:

6. Actuals for the first two of the three preceding years
7. Allotments against each detailed head for the current year
8. Actuals for the first five months of the three preceding years
9. Actuals for the last seven months of the first two of the three preceding years

These statements shall be sent to the **Director of Postal Accounts** to reach him by **15th September**. The Accounts Office shall fill in actuals for the preceding year, the first five months of the current year, and the last seven months of the preceding year — and return them to the Circles by **7th October**.

Rule 768-E. Submission of Completed Budget Estimates

On receipt of Form Bgt. 2 back from the Accounts Office, Heads of Circles shall fill in the **revised estimates for the current year and budget estimates of the next year**. Full explanation shall be given for all variations under each detailed head in columns 16 and 17 of the form.

The completed Forms Bgt. 2 shall be forwarded so as to reach the **Director General's office not later than the 25th October**. Any important alterations found necessary after submission shall be communicated on or before **30th November**.

CONTROL OVER EXPENDITURE IN RELATION TO BUDGET GRANTS**Rule 782. Ultimate Responsibility**

The **Director-General** is **ultimately responsible** for controlling the whole expenditure of the Department against sanctioned grants. **Heads of Circles** are required to co-operate by watching the progress of expenditure against portions of those grants placed at their disposal.

Rule 783. Two Objects of Expenditure Control

(i) **Preventing excess over allotments** — If the existing allotment is inadequate, the fact must be brought to the notice of higher authority. Unless allotments are formally increased or special authority is conveyed, Heads of Circles shall be held responsible for not exceeding their allotments.

(ii) **Timely surrender of savings** — If at any time a surplus is likely, the probable excess must be **promptly surrendered**. Savings due to actual postponement or abandonment of expenditure shall **not** be used for re-appropriation to meet new items.

Rule 784. Monthly Comparison with Grants

The two objects of control can be attained only by **systematic monthly comparison** of expenditure with grants.

Rule 786. Monthly Return from Subordinate Officers

For purposes of control, every administrative officer shall insist on the submission by each subordinate officer of a **regular monthly return on or about the 15th** of the month following that to which it relates. This return shall exhibit:

- Total allotment
- Expenditure including accepted liabilities
- Unspent balance at the end of the month
- **Estimated further requirements for the rest of the year**

Note 1. "Liabilities" include not only money due on articles ordered in the open market but also the value of articles supplied or services rendered for which a book adjustment is to be made. **Note 2.** Amounts outstanding on account of advances of TA for journeys on **transfer** should be included under liabilities. Advances for journeys on **tour** are treated as final charges and should not be reckoned as liabilities.

Rule 787. Consolidated Statement by Head of Circle

On receipt of monthly returns from subordinate officers, the Head of Circle shall have a **consolidated statement prepared** for the whole Circle showing:

- Grants at disposal under each head, revised to the end of the month

- Total expenditure to the end of the month
- Balance available

The Head of Circle shall at once apply for additional grants as necessary, or **surrender surplus provisions**.

Rule 791. Estimating Probable Expenditure for the Year

- For heads where outlay is **fairly regular** throughout the year — rate of expenditure to end of any month is compared with the monthly budget provision.
- For heads where expenditure is **heavier at certain periods** — probable outlay is estimated by applying to the actuals a **rule of proportion based on the average of the last 3 years**.

Rule 792. Policy on Additional Grants

Heads of Circles and subordinate officers must understand that the Department's policy is to **distribute available funds early in the year** as far as possible. Additional grants cannot be made as a matter of course, and **expenditure shall not be incurred at such a rate** as to assume that additions will be forthcoming.

Rule 793. Control of Works Expenditure

Divisional Engineers shall compile **monthly a progressive statement** of expenditure on each major work and send it to the Head of Circle **not later than the 15th of the following month**.

For minor works, Divisional Engineers shall submit statements **twice a year — on 15th November and 15th February**. Heads of Circles shall send statements to the Director General's office **by 30th November and 28th February**.

Rule 794. Duty of Head of Circle — Prompt Reporting

The Head of Circle must watch the progress of expenditure **month by month** and is held **personally responsible** for:

- Intelligent review of expenditure
- Applying for additional grants in time

- Making reasonable surrenders

Deferring till the end of the year the surrender of lapses that can be foreseen earlier is strongly deprecated.

Note 1. The minimum amount of lapse or extra requirement to be reported to the Director-General is as specified in current DOP standing instructions / PFMS norms.

Note 2. Copies of all surrender orders shall be furnished to the Branch Account Office along with reasons for surrender where required by current instructions.

Rule 795. Review of Budget Grants by Head of Circle

On receipt of monthly statements from subordinate officers, Heads of Circles shall examine the position of budget grants and see whether probable excesses may be covered by anticipated savings elsewhere. If necessary, grants shall be **redistributed among subordinate officers**. Any excesses that cannot be met by permissible re-appropriation within the Head of Circle's own powers must be **reported to the Director-General**.

Note. Copies of all re-appropriation orders shall be furnished to the Branch Account Office, along with reasons for re-appropriation as required by current instructions.

Rule 796. Reporting Probable Excesses to Director-General

As soon as a probable excess that cannot be met by re-appropriation within the Head of Circle's powers is noticed, it shall be **reported to the Director-General** immediately. The Director-General will:

10. Transfer anticipated savings from other Circles, or
11. Provide funds from the reserve at his disposal, or
12. Consider a formal re-appropriation.

If re-appropriation is beyond the Director-General's power, proposals shall be submitted to the **Government of India, Ministry of Finance**, as soon as possible.

Rule 796-A. Revised Allotments After Six-Monthly Estimates

Soon after the six-monthly estimates are approved (in December), revised allotments are issued to Heads of Circles. On receipt of revised allotments, Heads of Circles shall review the position of funds and regulate expenditure for the remaining months to keep

it within the revised allotments. If modifications are needed, a report shall be sent by **8th January** suggesting modifications with full explanations.

Rule 796-B. Review of Funds in March

Heads of Circles shall review the position of funds at the **beginning of March** and report the **Anticipated Final Grants** under several units so as to reach the Director General's office **by the 9th March**.

Branch Account Offices shall intimate to both the Circles and the Director General (Posts), **on 28th February each year**, the details of all unusual heavy adjustments made in January, and all anticipated unusual heavy adjustments likely to be made in February and March.

Rule 796-C. Consolidation of Anticipated Final Grants

On receipt of Anticipated Final Grant statements from Circles, they are consolidated in the Director General's office and the **final grant for the Department as a whole** is framed for report to the Ministry of Finance, Communications. Anticipated net savings are simultaneously surrendered. Individual re-appropriation statements beyond the Director-General's powers are prepared and submitted to the Ministry of Finance for approval.

Rule 797-A. Final Statement for Appropriation Audit

The Director-General shall furnish the Postal Accounts, in **Form Bgt. 22**, a consolidated statement of final grants by Demand and Secondary units showing all modifications in the grant sanctioned up to **31st March**, so as to reach them **by 7th April** each year.

As a general rule, **no re-appropriation shall be sanctioned by Heads of Circles after the 23rd March**. Any re-appropriation of considerable magnitude after that date shall be reported to the Director-General before the close of the year.

Rule 797-B. Statements of Variations in Expenditure

Immediately after the close of the year, Circles shall prepare statements in **Forms Bgt. 15 and 16** showing variations of expenditure from grant.

Action	Deadline
Circles to fill Column II and send to Accounts Office	By 31st May
Accounts Office to fill Column III (actual expenditure) and return to Circles	By 15th June
Circles to send completed statements (with explanations for variations exceeding Rs. 500 under each secondary unit) to Accounts Office	Last batch by 30th June
Accounts Office to forward completed statements to Director General's Office	By 15th July

IRREGULARITIES IN APPROPRIATION AUDIT**Rule 798. Common Causes of Lapses in Works Grants**

Frequent causes of lapses in budget grants for works include:

- **Over-estimating**
- Incorrect entries for recovered stores
- Neglect to maintain correct valuation lists of receipts and issues of maintenance stores
- Inaccurate estimation of liabilities, particularly in connection with **railway credit notes** for carriage of stores

Disbursing Officers shall pay special attention to avoid these defects.

Rule 799. Rush of Expenditure — Deprecated

Rush of expenditure in the last few months of the financial year is strongly deprecated. Expenditure should be evenly distributed throughout the year. It is more in the public interest to **surrender money** that cannot be profitably utilised so it can be diverted to

other works, than to expend money hurriedly. Disbursing Officers should surrender freely all money which cannot be spent economically.

REGRANTS OF LAPSES

Rule 800. Provision for Regrants of Lapses

In order that progress on works that cannot be finished before **31st March** is not interrupted by closing of accounts, lapses on capital and joint works relating to the following will be provided for in the budget estimates of the next financial year — if reported **once by the 5th of January** and thereafter by **10th February** at the latest:

13. Buildings

14. Railway Mail Vans

Rule 802. Application for Regrants

Applications for regrants should be submitted so as to reach the Director-General **by the 15th of April**. Demands for regrants shall not exceed the amounts of savings reported in the previous year.

Rule 803. Treatment of Regrant Amounts

Amounts sanctioned from the head "**Lump sum for regrants of lapses**" for works are treated as re-appropriation to the respective detailed heads under which those works are classified. Expenditure on these works is accordingly **debited to those detailed heads**, not to the lump-sum head.

KEY DATES — CHAPTER XII AT A GLANCE

Event	Date
Heads of Circles send proposals for new works expenditure to DG	By 31st July
Heads of Circles send all other new item proposals to DG	By 15th September
Circles send Form Bgt. 2 to Postal Accounts	By 15th September

Postal Accounts returns Form Bgt. 2 to Circles (with actuals filled)	By 7th October
Completed Form Bgt. 2 to reach DG's office	By 25th October
Latest date for new expenditure proposals to Ministry of Finance	By 15th November
Important alterations to budget estimates communicated to DG	By 30th November
Three-monthly estimates submitted to Ministry of Finance	By 15th August
Preliminary Schedule of Demands submitted to Ministry of Finance	7th December
Six-monthly estimates submitted to Ministry of Finance	7th December
Revised allotments issued to Heads of Circles	December
Circles report modifications to revised allotments	By 8th January
Lapses on works reported for regrant — first report	By 5th January
Lapses on works reported for regrant — final report	By 10th February
Divisional Engineers submit statements for minor works	15th November & 15th February
Heads of Circles send works progress statements to DG	By 30th November & 28th February
Anticipated Final Grant statements reach DG's office	By 9th March
DG's office reports final surrenders/applies for appropriations	18th March
No re-appropriation by Heads of Circles after:	23rd March
All unexpended grants lapse	31st March
Consolidated statement of final grants (Form Bgt. 22) to Postal Accounts	By 7th April

Applications for regrants of lapses to reach DG	By 15th April
Circles send Statements of Variations (Col. II) to Accounts Office	By 31st May
Accounts Office returns completed statements to Circles	By 15th June
Last batch of variation statements sent to Accounts Office	By 30th June
Completed variation statements to reach DG's office	By 15th July

